

Strategy Assignment: Lumora HealthTech – Operating Model Alignment

Assignment Context

You are a Strategy Advisor at Lumora HealthTech, a B2B digital health company specializing in diagnostic software for laboratories. Having helped define Lumora's Winning Ambition, chosen Playing Field, and crafted an enhanced Value Proposition in previous modules, you now turn to aligning the **Operating Model** with this strategic direction.

Lumora's executive team has agreed on a refined strategy based on prior work and leadership input. The Playing Field is now tightly defined: **Lumora will focus on diagnostic labs in Germany and Austria only**, with no expansion into private clinics or radiology centers at this stage. The validated Value Proposition for these labs is to deliver “**precision diagnostics at scale**” – meaning Lumora's Diagnostic Decision Support System (DDSS) offers **highly accurate and fully compliant** diagnostic support, **seamlessly integrated** into lab workflows, and increasingly **predictive** (leveraging data to flag risks, streamline processes, and improve lab efficiency).

With this clear strategic mandate, Lumora's leaders recognize that the current configuration of people, processes, systems, and structures may not be optimal to support the new focus. They have tasked you with assessing Lumora's current Operating Model and recommending changes so that “**strategy and execution fit together.**” Your analysis will directly inform an upcoming reorganization and investment plan to ensure Lumora can execute its strategy and achieve its ambition.

Your Task

Act as Lumora's internal strategy consultant and **realign Lumora's Operating Model** to the new strategic direction. **First, clarify Lumora's strategic focus** – identify the company's value discipline (how it chooses to compete) and the **core differentiating capabilities** it must excel at to deliver on “precision diagnostics at scale.” Also determine which activities are merely essential “table stakes” or are **non-strategic** under the new focus. **Next, diagnose** how Lumora's current Operating Model is configured across key building blocks (people, process, technology, structure, etc.), and analyze its **value chain** of activities, identifying strengths, weaknesses, and misalignments relative to the new strategy. **Then, design the changes** needed – define a Target Operating Model that builds the required capabilities and reconfigures key elements (structure, processes, technology, partnerships, etc.) to support Lumora's strategy. Finally, **recommend a transformation plan** to **bridge the gap** from the current state to the target state – using the framework of four action categories from Leinwand & Mainardi's approach: **Stop** non-strategic activities,

De-Emphasize (prune/streamline) table stakes, **Invest to Grow** in strategic areas, and **Build & Scale** new capabilities.

Your proposal should be concrete and actionable. It must show how stopping or dialing down certain activities, and investing in or building others, will create an operating model that reinforces **Lumora's differentiating capabilities** and supports its focused value proposition. Use only the data provided in the case (see Appendix) – the assignment is designed to be completed with in-course materials only, reflecting realistic decision-making with limited information.

Assignment Instructions

Step 1. Identify Value Discipline & Key Capabilities (20 pts) – Based on Lumora's new strategy, determine **which value discipline** (Treacy & Wiersema's model: Operational Excellence, Customer Intimacy, or Product Leadership) Lumora is pursuing with "precision diagnostics at scale." Briefly **explain your choice** with evidence from the case (e.g. the nature of Lumora's offering and what its customers value). Next, identify the **core capabilities** the company must excel at to deliver this value proposition – essentially, what Lumora needs to be **uniquely good at** for its strategy to succeed. List 3–5 such capabilities. For each, briefly explain why it is critical to the strategy **and** evaluate it against the **VRIN criteria** (Valuable, Rare, Inimitable, Non-substitutable) for sustainable advantage. Capabilities that pass the VRIN test can be considered true differentiators. In contrast, identify the **"table stakes"** activities that Lumora must do **adequately** (meet industry standard) but which will not set it apart competitively – these are necessary operations where being good enough is sufficient. Also note any current activities or initiatives that appear **non-strategic** under the new focus (e.g. projects that do not contribute to the core lab diagnostics strategy). In other words, clarify which things Lumora should **focus on and invest in**, which to **maintain at baseline**, and which to **consider stopping** to execute its strategy. Provide a brief justification for each choice, linking back to Lumora's value proposition and competitive context (why does this capability truly matter for winning, or why not?).

Step 2. Diagnose the Current Operating Model (20 pts) – Using the **eight building blocks** of an operating model, map out **Lumora's current configuration** and assess how well each element supports (or fails to support) the new strategy. The eight building blocks to consider are: **Leadership & Decision-Making, Structure (Org Design), Processes & Workflows, People & Skills, Culture & Norms, Technology & Systems, Performance Metrics & Incentives, and Partnerships & Ecosystem**. For each of these, summarize **Lumora's current state** (based on case data) and evaluate its strengths or weaknesses in light of the strategic priorities from Step 1. Identify any **misalignments** where the current setup is at odds with the needs of the "labs in DE/AT, precision-at-scale" direction. You may use a table to organize this diagnosis. *(Note: It's not necessary to re-describe the entire strategy here, but reference it when noting fits or misfits.)*

In addition, **outline Lumora's value chain** – the sequence of activities from product development and integration through sales, delivery, and support of the DDSS to lab customers. Are there any distinctive or unusual ways that Lumora performs certain activities compared to competitors? Analyze whether the current value chain configuration shows evidence of deliberate **trade-offs** or unique choices that support the strategy. For example, has Lumora chosen to excel in certain activities while foregoing or minimizing others? Or is it trying to do everything (which can lead to dilution)? Highlight any areas in the value chain where Lumora performs exceptionally well (these likely relate to the core capabilities from Step 1) and any areas that are weak or inefficient. Discuss if Lumora is making the right trade-offs in activities – e.g. focusing on integration and compliance might mean **trading off** some flexibility or breadth. Conversely, note if Lumora is stretching into activities that don't fit its chosen discipline. Summarize how **coherent or incoherent** the current operating model is: to what extent do the various elements and activities reinforce (or undermine) Lumora's strategic intent?

Step 3. Recommend Operating Model Realignment (30 pts) – Propose **concrete changes** to Lumora's operating model to better align it with the strategy. Organize your recommendations under the four action categories from **Leinwand & Mainardi's "bridge" framework**: (a) **Stop** Non-Strategic Activities, (b) **De-Emphasize** (streamline) Table-Stakes, (c) **Invest to Grow**, and (d) **Build & Scale**. (*Briefly, "Stop" means eliminating initiatives that don't add strategic value, "De-Emphasize" means pruning or simplifying essential-but-undifferentiated work, "Invest to Grow" means doubling down on existing strengths that drive advantage, and "Build & Scale" means developing new strategic capabilities and expanding them.*) For each category, list specific initiatives or adjustments Lumora should undertake. For example, under **"Stop,"** you might identify projects or business activities that no longer fit the core strategy (and thus should be halted to free up resources); under **"De-Emphasize,"** areas where Lumora can meet requirements with a leaner effort or lower cost (avoiding over-investment in things that are merely standard expectations); under **"Invest to Grow,"** existing strengths or differentiating capabilities that need additional resources to fully leverage; and under **"Build & Scale,"** new capabilities or systems Lumora must develop (or small pilots to scale up) to support its differentiators at scale. Provide **1–3 recommendations** in each category, explaining **why** each change will improve alignment with the strategy. Ensure your recommendations clearly address the misalignments or gaps found in Step 2 and tie back to enabling the **differentiating capabilities** from Step 1. In essence, your plan should show how Lumora will **shift resources** away from activities that don't matter as much, and toward the activities and capabilities that do – thereby building a fit-for-purpose operating model.

Step 4. Describe the Target Operating Model (15 pts) – Synthesize your recommendations into a cohesive **vision of how Lumora's operating model will look and function** after the changes. In a short paragraph (or visual diagram, if helpful), describe how the new configuration of people, processes, systems, and structure **works together** to support Lumora's strategic goals. Emphasize how the **key capabilities** (from Step 1) will be strengthened and delivered by the new design. Essentially, tell the "story" of Lumora's **future operating model** – for instance, you might describe how a customer lab is

onboarded or serviced in the new model more efficiently, or how teams and systems interact to deliver superior diagnostic accuracy and integration at scale. The goal is to illustrate that the changes form an **integrated whole** that reinforces **Lumora’s chosen way to play** (its strategic approach to winning). (Note: You may optionally include a simple sketch or table highlighting the new structures or process flows – this will not be graded separately, but can enrich your explanation.)

Step 5. Consider Execution Challenges (15 pts) – Finally, reflect on at least **two implementation challenges** or trade-offs Lumora will need to manage in executing your recommended changes. Strategy execution often involves difficult adjustments; identify potential obstacles such as organizational resistance, capability gaps, transitional risks (e.g. downtime or customer impact during the changeover), or short-term costs. For each challenge, briefly suggest **how Lumora’s leadership could address or mitigate it** (e.g. change management approaches, phasing of initiatives, training or hiring plans, securing quick wins to build momentum, etc.). This step ensures you demonstrate awareness of **practical feasibility** and the importance of managing uncertainty as Lumora transforms its operating model. In other words, show that you have thought about **“making it happen”** and not just what to do.

Grading Rubric

Section (Step)	Criteria	Points
Step 1. Value Discipline & Key Capabilities	Clear identification of the company’s chosen value discipline and the core capabilities needed to excel in its strategy. Differentiating vs. “table-stakes” vs. non-strategic areas are correctly identified. Rationale is compelling and aligned with the value proposition and competitive context (includes consideration of what is VRIN for advantage).	20 pts
Step 2. Operating Model Diagnosis	Comprehensive analysis of the current state across all 8 building blocks (with evidence from case). Strengths and misalignments relative to the new strategy are accurately identified. Includes insight into the value chain configuration and whether current activities and trade-offs align with strategic focus. Overall, demonstrates understanding of how well (or poorly) the pieces of the operating model fit together to support Lumora’s strategy.	20 pts
Step 3. Realignment Recommendations	Quality and specificity of recommendations. Uses all four categories (Stop, De-Emphasize, Invest, Build) with concrete, relevant initiatives. Clear logic for how each action improves strategic alignment (e.g. strengthens a differentiating capability or eliminates a misalignment). Shows prioritization of strategic over	30 pts

Section (Step)	Criteria	Points
	non-strategic activities (shifting resources appropriately). Considers feasibility at a high level (recommendations are plausible).	
Step 4. Target Operating Model Description	Presents a coherent vision of the future operating model . Shows how the proposed changes integrate to support Lumora’s differentiating capabilities and strategic goals. The description is clear, concise, and covers key elements (structure, processes, technology, etc.), illustrating how they will work together. (A diagram, if provided, is consistent with the narrative.)	15 pts
Step 5. Execution Challenges	Thoughtful reflection on implementation. Identifies relevant challenges/risks (at least two) likely in executing the changes. Provides realistic suggestions to address or mitigate each challenge. Demonstrates awareness of what will be difficult in practice (e.g. cultural resistance, resource gaps, customer impact) and how leadership might manage these issues to ensure the transformation’s success.	15 pts
Total		100 pts

Student Response Template

Step 1: Value Discipline & Key Capabilities

- **Value Discipline:** *(Which of the three value disciplines – Operational Excellence, Customer Intimacy, or Product Leadership – best describes Lumora’s strategic focus? State your choice and briefly justify it, based on how Lumora delivers value to its lab customers.)*
- **Differentiating Capabilities to Strengthen:** *(List the few capabilities Lumora must excel at to support its chosen strategy. Why are these capabilities critical and unique? Indicate how each is Valuable, Rare, Inimitable, and Non-substitutable – i.e. does it meet the VRIN criteria?)*
e.g., **[Capability Name]** – [Brief justification of its importance to the strategy and what makes it hard for competitors to match]
- **“Table Stakes” (Maintain Adequately):** *(List the areas or activities that Lumora needs to do well enough to meet industry standards, but which will not differentiate it. These are essential to operate but should not be over-invested in.)*
e.g., **[Activity/Area]** – [Reason why it’s important to do, but not a source of competitive advantage]

- **Non-Strategic Activities (Consider Stopping):** *(List any current activities, projects, or offerings that do not align with the focused strategy and could be reduced or eliminated to free resources.)*
e.g., **[Activity/Initiative]** – [Explanation of why it’s misaligned with the strategy and should be phased out]

Step 2: Current Operating Model Diagnosis (8 Building Blocks & Value Chain)

Use the table below (or a similar format) to map Lumora’s **current operating model**. For each element, summarize the current state and assess whether it **supports or undermines** the new strategy (“labs in DE/AT, precision-at-scale”). Identify any key **strengths** to preserve and **weaknesses/misalignments** to address.

Operating Model Element	Current State & Alignment Assessment <i>(How does this element function today? Is it helping execute the “precision diagnostics at scale” strategy, or creating issues?)</i>
Leadership & Decision-Making	e.g., How are strategic decisions made? Is leadership providing clear focus on core labs? Any instances of unfocused decisions? Strengths/weaknesses in governance.
Structure (Org Design)	e.g., How is the company organized (by function, market, etc.)? Does this structure fit the new focus (labs in DE/AT)? Any structural silos or teams misaligned with the strategy?
Processes & Workflows	e.g., Key process characteristics in development, deployment, service. Are processes efficient and standardized for scale, or overly customized? Any bottlenecks or misfits?
People & Skills	e.g., What talent does Lumora have (domain experts, engineers, etc.)? Where are the skill gaps relative to new strategic needs (data science, cloud, etc.)? Alignment of workforce capabilities/culture with strategy.
Culture & Norms	e.g., Prevailing mindsets and behaviors (“customer always first,” risk aversion, etc.). Do these cultural elements support the new focus and innovation at scale, or do they cause friction?
Technology & Systems	e.g., The state of Lumora’s product tech (on-prem vs cloud) and internal IT. Does the tech enable scaling and analytics as needed? Any outdated systems or tech misalignments?
Metrics & Incentives	e.g., What performance metrics and reward systems are in place (sales targets, project KPIs)? Do they encourage focusing on core strategic goals (like scaling labs) or do they incentivize undesirable behaviors (like custom deals)?
Partnerships & Ecosystem	e.g., External partners (tech partners, channel partners)? Is Lumora leveraging partnerships to support its strategy (integration, faster

Operating Model Element	Current State & Alignment Assessment <i>(How does this element function today? Is it helping execute the “precision diagnostics at scale” strategy, or creating issues?)</i>
	deployment, market access) or operating mostly alone? Opportunities to partner more?

After reviewing the building blocks, **briefly describe Lumora’s value chain** (the key activities from product development to delivering and supporting the DDSS in labs). Are there any **unique ways** Lumora performs certain activities? Highlight any stages where Lumora excels or lags behind competitors. Discuss whether Lumora has made clear **trade-offs** in its activities (what it does *differently* or what it chooses *not* to do) in line with its strategy – or if it’s trying to do too much. This will help identify additional misalignments and areas to reconfigure.

Step 3: Operating Model Realignment Recommendations

Propose changes under each of the four categories below. Be specific about **what Lumora should do** and **why** it helps align the operating model with the strategy. Ensure these recommendations clearly address the issues you found in Step 2 and aim to strengthen the differentiating capabilities from Step 1.

- **Stop Non-Strategic Activities:**
- **[Initiative to Stop]** – *Justification:* Why does this activity not add value to the “precision diagnostics at scale” strategy? How will stopping it free up resources or eliminate distraction?
- **[Another thing to Stop]** – *Justification:* (if applicable)
- **De-Emphasize / Streamline Table-Stakes:**
- **[Area to De-Emphasize]** – *Justification:* How can Lumora simplify or scale back this activity while still meeting basic requirements? (Explain why it’s a “must do” but not a “must excel” area.)
- **[Another to De-Emphasize]** – *Justification:* (if applicable)
- **Invest to Grow (Strengthen Existing Capabilities):**
- **[Capability/Activity to Invest In]** – *Justification:* Which differentiating capability or strategic area is this investment boosting? Why will more resources here drive competitive advantage or growth?
- **[Another Invest-to-Grow item]** – *Justification:* (if applicable)
- **Build & Scale (New Capabilities or Expansions):**

- **[New Capability/Initiative to Build]** – *Justification:* What new capability does Lumora need to develop, or what pilot project should be scaled up, to support the strategy? Why is this important and how will Lumora build/implement it?
- **[Another Build/Scale item]** – *Justification:* (if applicable)

(Aim for 1–3 focused recommendations in each category; you don’t need to fill all with 3 if not necessary. It’s better to have a few well-explained, high-impact changes than a long list of minor tweaks. Also, make sure collectively these moves reallocate attention and resources toward Lumora’s differentiators and away from non-essentials.)

Step 4: Target Operating Model Description

Describe in a short **paragraph (3–5 sentences)** how Lumora’s operating model will function after implementing your recommendations. Focus on how the new configuration supports Lumora’s strategic goals and differentiating capabilities. You might mention how key teams will be structured, how core processes will flow more efficiently at scale, or how technology and partnerships will enable better performance. The goal is to show a **cohesive picture** of the future state: how do the people, processes, technology, and other elements work together to deliver “precision diagnostics at scale” better than the current model? *(You may include a simple diagram on a separate page if it helps illustrate the new operating model, but be sure to also explain in writing the main changes and why they make Lumora more effective.)*

Step 5: Execution Challenges & Mitigation

1. **Challenge:** *[Identify a potential challenge in implementing the changes.]* – **Mitigation:** *[How could Lumora address or mitigate this challenge?]*
e.g., **Resistance to Change** – *Employees accustomed to the old way might resist new processes or stopping projects.* **Mitigation:** Clearly communicate the “why” behind changes, involve staff in planning, provide training or new opportunities for those impacted, and celebrate early wins from the new model to build buy-in.
2. **Challenge:** *[Another likely implementation challenge or risk factor.]* – **Mitigation:** *[How to manage or reduce this risk?]*
e.g., **Capability Gap** – *Lumora lacks experience in cloud tech, which could slow the build of the new platform.* **Mitigation:** Partner with a cloud expert firm initially, invest in training/hiring for cloud skills, and possibly phase the rollout to learn and adjust gradually.

(Add a third challenge if you see another major risk. Aim for at least two substantive challenges with corresponding mitigation strategies. Consider areas like culture, skills, systems integration, customer impact, financial constraints, etc. Showing that you can foresee hurdles and think of responses will strengthen your proposal.)

Appendix: Key Case Data – Lumora HealthTech Operating Context

(All information below is provided to support your analysis. It reflects Lumora's current situation and recent internal insights, gathered through management interviews and operational reports.)

Company Overview & Strategic Background

- **Business Model:** Lumora HealthTech sells a Diagnostic Decision Support System (DDSS) to clinical laboratories (B2B software). Historically, the focus has been large diagnostic lab chains in the DACH region, but the company experimented with adjacent markets (private clinics, radiology centers) in the last two years. Revenue in Germany & Austria last year was €44 million (roughly 90% from lab clients, 10% from a few pilot projects in other segments). Growth has slowed to ~3% (vs. >10% a few years ago) as the core lab market saturates and competitors nibble at niches.
- **Competitive Landscape:** In the core lab segment, Lumora faces a few direct competitors offering lab decision support software, but none with the same integration and compliance depth. However, large electronic medical record (EMR) and lab information system vendors are increasingly interested in adding diagnostic decision modules, potentially encroaching on Lumora's turf. These bigger firms (often with broad hospital IT suites) could become serious threats if Lumora doesn't solidify its niche. In the adjacent markets (clinics, radiology), Lumora encountered specialized competitors (for radiology AI, etc.) and found it challenging to win as an outsider. This reinforced the lesson to focus. Overall, Lumora's competitive advantage so far has been its **specialization in lab workflows and its reputation for accuracy/compliance** – it's seen as a "lab specialist" rather than a general software vendor.
- **Recent Strategic Decisions:** The CEO and executive team, after seeing slow growth, decided to refocus on the core labs in DACH where Lumora historically succeeded. They formally paused any expansion to new markets. They also articulated the new value proposition ("precision diagnostics at scale") to double down on leveraging Lumora's strengths (precision and compliance) while addressing the need for scalability. This assignment's timing coincides with that strategic pivot – leadership knows the operating model (org structure, processes, etc.) now needs to catch up to support the refocused strategy.

Current Operating Model Highlights (from internal interviews):

- Lumora's **Organization Structure** is mostly functional: product development (engineering) team, sales team, client implementation/support team, etc. However, in practice, teams have been pulled into custom project groups for new initiatives (like the radiology pilot team was a special project drawing people from engineering

and data science). There is a sense that “everyone wears multiple hats” due to the company’s medium size and evolving priorities.

- **Decision-Making & Governance:** Major decisions (product roadmap, new market entry) are made by the executive team (CEO, CTO, COO, Head of Sales). There isn’t a formal strategy committee or anything – it’s been somewhat ad hoc. That led to some decisions driven by short-term opportunity (like taking on a big custom project for a clinic because it brought in revenue) rather than strategic fit. Middle managers say they lack clarity on what initiatives to prioritize when resource conflicts occur.
- **Processes:** Many processes are informal or in flux. The product development lifecycle is not strictly defined (they don’t rigidly follow Agile or Waterfall – it’s a mix, often adjusting to client needs). Client implementation follows a general checklist but is highly variable in duration and scope per client. Quality and regulatory compliance processes *are* well-documented (because they needed to certify the software as a medical device, etc.), so things like testing, validation, and documentation are thorough.
- **People & Culture:** Employees (about 200 in total) are mostly located in Germany (Munich HQ) with some in Austria for sales/support. Culturally, employees describe the company as “customer-committed, quality-first, but feeling growing pains.” Many staff joined when Lumora was a startup and wore many hats; now roles are becoming more specialized, which causes some friction (early employees feeling like processes are becoming too formal). There is pride in the mission of improving lab diagnostics. However, some fatigue is noted from constant custom projects – engineers mention “we rarely get to polish the core product because we’re always racing to build the next custom thing someone sold.”
- **Technology Stack:** The core DDSS product is built in C#/.NET and uses a local SQL database at each client site. There’s a web-based dashboard but it runs on a server at the lab. The new analytics pilot uses Python and runs on AWS cloud, but only with dummy data currently. Internally, the company uses a mix of tools: older on-premise ERP for finance, a basic CRM for sales (not fully adopted by everyone), and lots of Excel sheets for tracking projects. They have not invested heavily in internal IT systems due to budget constraints.
- **Performance Metrics:** The company’s dashboard for executives tracks things like total revenue, number of new contracts signed, average deal size, profit margin, and product uptime (system reliability). Customer satisfaction is measured informally (no consistent NPS or survey program). There’s no metric for how standardized vs. custom the deployments are, or how quickly new clients go live (historically each deal was big and unique, so less attention paid to average deployment time).

- **Partner Network:** Lumora has a small partnership with **MediLab Instruments Co.** (a lab hardware maker) to ensure data integration between Lumora's software and MediLab's devices. This came from a joint client that wanted the systems to talk. There's no formal revenue-sharing or reseller arrangement, it's more of an informal collaboration. For implementation, Lumora tends to do everything in-house; they haven't cultivated third-party integrators. They also have relationships with some academic labs and hospitals for research (e.g., one university lab is providing sample data to help Lumora train its AI models).
- **Financial Snapshot:** Lumora is privately owned (venture-funded). It has been roughly break-even the last two years, as profits from established lab clients were reinvested into exploratory projects. The radiology pilot, for example, cost around €2M. For the coming year, the board has approved an extra €5M budget if needed to pivot and strengthen capabilities, but they want to see a solid plan (that's part of why this operating model review is happening).

Key Strategic Challenges Identified:

- **Scalability vs. Customization:** The core tension is how to scale to more labs (and grow faster) without losing the high-quality, tailored service that made Lumora successful. Leadership knows they need to standardize and possibly productize more of the solution, but they worry about under-serving customer needs.
- **Technology Modernization:** Moving to the cloud and leveraging AI are seen as important for staying ahead, but these are new areas for Lumora. They have to figure out how to do this while maintaining their reputation for bulletproof compliance and accuracy.
- **Focus and Opportunity Cost:** By refocusing on labs in DACH, Lumora is consciously forgoing other markets in the near term. The challenge will be to not get tempted by "easy money" contracts outside this focus, and instead deepen their penetration and advantage in the core market.
- **Competition Response:** If Lumora's larger competitors notice its success in the lab decision support niche, they might invest more in that area or attempt to copy features. Lumora's strategy of focus means it has to out-execute these bigger firms within the niche. That likely involves being more agile and innovative in labs than a generalist competitor could be.
- **Regulatory Changes:** New EU regulations (the In Vitro Diagnostic Medical Device Regulation, IVDR) are coming into full effect, requiring even more stringent documentation and validation for software like Lumora's. While Lumora's compliance team is very competent, this will increase the workload on the development process. There's concern that without process changes, meeting these regulations could slow releases to a crawl – hence the need for possibly more automated compliance tools or more efficient processes.

(End of Appendix)